

Outlook

From	lerato.khumalo@cfo.office.keystonebank.co.za
To	analytics.retail@keystonebank.co.za, credit.risk.retail@keystonebank.co.za
Cc	pricing.customer.value@keystonebank.co.za, treasury@keystonebank.co.za
Sent	Thu, 14 Apr 2022 08:30:00 -0000

Follow-up: rate sensitivity without pretending we have a full ALM model

Hi all,

I may be joining dots that do not belong together, so please challenge the premise.

The planning team needs to understand which product and customer groups are most exposed when lending and account rates change. Failure anecdotes are beginning to drive decisions, although retries and late posting may be making the problem look larger than the affected-customer population.

Could the answer be that variable-rate borrowers show stress before fixed-rate borrowers? Or are we actually seeing that fee-sensitive deposit activity changes after repricing? I also do not want us to miss the possibility that repayment stress is driven more by cash flow than by nominal rate.

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use April 2022 as the new evidence point rather than recycling the earlier conclusion. The practical decision is where product repricing, customer communication or credit monitoring should be focused. Please send a short decision pack with no more than five slides and an attached evidence table; I need the exceptions and counter-examples, not only an average.

Work from monthly account snapshots, status events, limits, product enrolments and signatories; the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; transaction-level timestamps, channels, amounts, statuses and error context; collections cases, promises to pay and recovery payments; customer contacts, complaints and suggestions. This is a behavioural sensitivity study, not IRRBB, economic value of equity or a regulatory interest-rate calculation.

Regards